

KEY TERMINOLOGY

ECONOMY



MODULE - 24

- Economic Policy
- Fiscal Deficit
- Revenue Deficit
- Primary Deficit

- Public Debt
- Fiscal Policy
- Types of Fiscal Policy
- Fiscal Stimulus

KEY TERMINOLOGY IN ECONOMY

ECONOMIC POLICY



1 FISCAL POLICY

TAXES



EXPENDITURE



2 MONETARY POLICY



CIRCULATION OF MONEY

KEY TERMINOLOGY IN ECONOMY



UNION BUDGET 2017-18



BUDGET AT A GLANCE

REVENUE RECEIPTS

Rs. 15,15,771 crore

+

CAPITAL RECEIPTS

Rs. 6,30,964 crore
(Borrowings and other liabilities Rs.5,46,532 crore)

=

TOTAL RECEIPTS

Rs. 21,46,735 crore

TOTAL EXPENDITURE

Rs. 21,46,735 crore

FISCAL DEFICIT

Rs. 5,46,532 crore
(3.2% of GDP)

REVENUE DEFICIT

Rs. 3,21,163 crore
(1.9% of GDP)

EFFECTIVE REVENUE DEFICIT

Rs. 1,25,813 crore
(0.7% of GDP)

PRIMARY DEFICIT

Rs. 23,454 crore
(0.1% of GDP)

KEY TERMINOLOGY IN ECONOMY

FISCAL POLICY

TAXES



EXPENDITURE



- ✓ This is the policy, which is basically to stabilize the level of *output* and *employment*.
- ✓ This is made through changes in *expenditure* and *taxes*.
- ✓ It tries to stabilize the ups and downs in the economy.
- ✓ This is the reason, why we have *surplus* and *deficient* budgets.
- ✓ Main aim of the Fiscal policy is to target the total level of spending, the total composition of spending or both in an economy.
- ✓ The two most widely used means of affecting fiscal policy are **changes in government spending** or in **tax policy**.

KEY TERMINOLOGY IN ECONOMY

MIXED ECONOMY AND GOVERNMENT'S ROLE

1. ALLOCATION FUNCTION



2. DISTRIBUTION FUNCTION



3. STABILIZATION FUNCTION



KEY TERMINOLOGY IN ECONOMY

MIXED ECONOMY AND GOVERNMENT'S ROLE

1. ALLOCATION FUNCTION



These are public goods, which are distinct from private goods and these cannot be provided through market mechanism and must be provided by the government and this is the allocation function.

KEY TERMINOLOGY IN ECONOMY

MIXED ECONOMY AND GOVERNMENT'S ROLE

2. DISTRIBUTION FUNCTION



The government affects personal disposable income of households by making transfer payments and collecting taxes. This can alter the income distribution. This is the distribution function.

KEY TERMINOLOGY IN ECONOMY

MIXED ECONOMY AND GOVERNMENT'S ROLE

3. STABILIZATION FUNCTION



UNEMPLOYMENT



INFLATION

The Government has got the responsibility to stabilize the economy as and when the need arises

KEY TERMINOLOGY IN ECONOMY

SCENARIO - 1

FISCAL POLICY

WHEN COUNTRY IS IN RECESSION




Reliance
Industries Limited



+



सत्यमेव जयते



=



=



MORE DEMAND



1



HIGH
GDP

2



HIGH
EMPLOYMENT

3



HIGH
INFLATION

KEY TERMINOLOGY IN ECONOMY

SCENARIO - 2

FISCAL POLICY

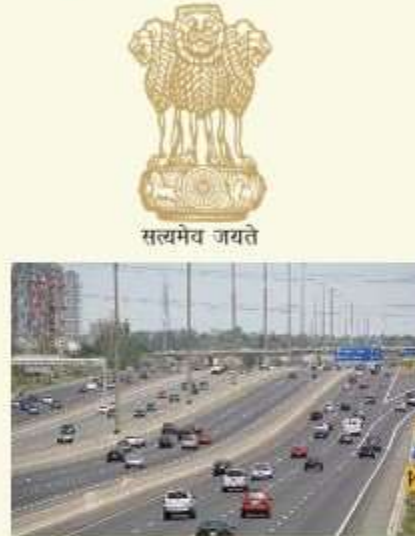
WHEN COUNTRY IS WITH HIGH INFLATION




Reliance
Industries Limited



+



=



=



LESS DEMAND

1



LOW
GDP GROWTH

2



LOW
EMPLOYMENT

3



LOW
INFLATION

MAIN OBJECTIVES OF FISCAL POLICY



- 1 Increase in capital formation
- 2 Increase in GDP
- 3 Achieving desirable price level
- 4 Achieving desirable consumption level
- 5 Achieving desirable employment level
- 6 Achieving desirable income distribution

TYPES OF FISCAL POLICY

1

EXPANSIONARY FISCAL POLICY



- Increasing Govt. expenditure
- Decrease in taxes

Fiscal deficit will increase

2

CONTRACTIONARY FISCAL POLICY



- Decrease in Govt. expenditure
- Increase in taxes

Fiscal deficit will decrease

FISCAL DEFICIT

DEFINITION

Difference between the Government's total expenditure and its total receipts excluding borrowings.

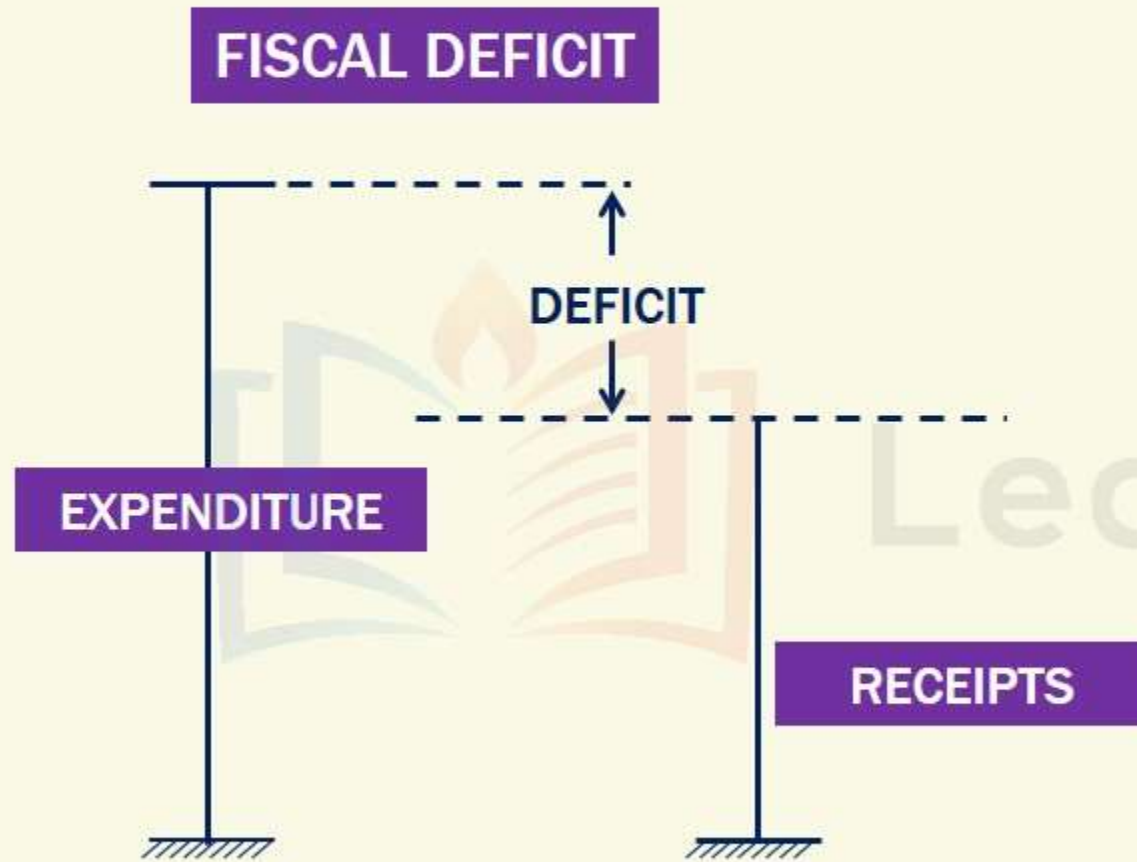
$$\text{GFD} = \text{Total expenditure} - (\text{Revenue receipts} + \text{Non-debt creating capital receipts})$$

SIGNIFICANCE

1. It is financed normally through borrowing.
2. Public debt will increase.
3. More interest burden
4. Burden on future generations
5. Reduction in capital formation



KEY TERMINOLOGY IN ECONOMY



$$\text{GFD} = \text{Total expenditure} - (\text{Revenue receipts} + \text{Non-debt creating capital receipts})$$

KEY TERMINOLOGY IN ECONOMY

HOW TO FINANCE THE DEFICIT?



1 BORROWING

भारतीय डाक



India Post



2 INCREASE IN TAXES



3 PRINTING CURRENCY



KEY TERMINOLOGY IN ECONOMY

FISCAL POLICY

1

BORROWING



1



India Post

Borrowings from public

2



Commercial banks through
SLR mechanism

3



Governments' borrowings from RBI

4



The World Bank



ASIAN INFRASTRUCTURE
INVESTMENT BANK

Loans from multilateral lenders / Govts

KEY TERMINOLOGY IN ECONOMY

FISCAL POLICY

2

INCREASE IN TAXES



GROSS INCOME

—

TAXES



=

CONSUMPTION



+

SAVINGS & INVESTMENTS



Disposable Income is in general
Gross Income - Taxes

FISCAL POLICY

3

PRINTING CURRENCY



- Inflationary
- More money in circulation
- Intrinsic value of currency will be lost



PUBLIC DEBT



- Public debt includes internal and external debt incurred by the Central Government.
- Major instruments include
 - Dated securities
 - Treasury bills
 - Securities issued against small savings

As per Article 292, Government of India can borrow amounts specified by the Parliament from time to time whereas, under Article 293 of the Constitution, the State Governments in India can borrow within the territory of India.

REVENUE DEFICIT

DEFINITION

Excess of government's revenue expenditure over revenue receipts

$RD = \text{Revenue expenditure} - \text{Revenue receipts}$

SIGNIFICANCE

1. It is dissaving
2. Using part of the capital receipts for consumption expenditure.
3. That means Government's borrowing partly going towards consumption expenditure.
4. Hence, asset creation will be hampered.
5. Some of the expenditure is committed, giving less scope for reduction



PRIMARY DEFICIT

DEFINITION

Gross Primary Deficit = Gross Fiscal Deficit – Net Interest Liabilities

Net interest liabilities are interest payments minus interest receipts by the Government on net domestic lending.

SIGNIFICANCE

1. To focus on present fiscal imbalances.
2. To focus on borrowings and interest outgo.

FISCAL STIMULUS



- An increase in public spending or a reduction in the level of taxation is fiscal stimulus.
- This is to encourage and support economic growth.
- Most government bailout packages are also to be considered as a form of fiscal stimulus.

WE EXPRESS OUR SINCERE THANKS FOR VIEWING THIS VIDEO

Presented by



Learning Space

For Suggestions:

suggestions@learningspace.in

To Contact us:

info@learningspace.in

OUR TEAM

G. V. Rao

D. Sunil Kumar
V. Dayakar James
Y. Sri Poojita

G. Ravi Babu
D. Joji
K. Victor Babu

Visit us at:

www.learningspacedigital.com

0 8 6 6 -2 4 4 4 4 7 2

0 9 8 4 9 9 4 2 2 9 9